The Gospel of Wealth

Andrew Carnegie · June 1889

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> The steel magnate argued that great fortunes are inevitable and good, but that the rich hold their wealth as "trustees" morally bound to give it away for the public good in their own lifetimes — the founding creed of American philanthropy.

The problem of our age

The problem of our age is the proper administration of wealth, so that the ties of brotherhood may still bind together the rich and poor in harmonious relationship. The conditions of human life have not only been changed, but revolutionized, within the past few hundred years. . . . The contrast between the palace of the millionaire and the cottage of the laborer with us to-day measures the change which has come with civilization.

[. . .]

On inequality as 'natural'

But, whether the law be benign or not, we must say of it, as we say of the change in the conditions of men to which we have referred: It is here; we cannot evade it; no substitutes for it have been found; and while the law may be sometimes hard for the individual, it is best for the race, because it insures the survival of the fittest in every department. We accept and welcome, therefore, as conditions to which we must accommodate ourselves, great inequality of environment, the concentration of business, industrial and commercial, in the hands of a few, and the law of competition between these, as being not only beneficial, but essential for the future progress of the race.

[. . .]

Three modes of disposing of surplus wealth

There are but three modes in which surplus wealth can be disposed of. It can be left to the families of the decedents; or it can be bequeathed for public purposes; or, finally, it can be administered during their lives by its possessors. Under the first and second modes most of the wealth of the world that has reached the few has hitherto been applied. Let us in turn consider each of these modes. The first is the most injudicious. . . . Why should men leave great fortunes to their children? If this is done from affection, is it not misguided affection?

[. . .]

The true antidote

There remains, then, only one mode of using great fortunes; but in this we have the true antidote for the temporary unequal distribution of wealth, the reconciliation of the rich and the poor—a reign of harmony—another ideal, differing, indeed, from that of the Communist in requiring only the further evolution of existing conditions, not the total overthrow of our civilization.

[. . .]

The duty of the rich

This, then, is held to be the duty of the man of Wealth: First, to set an example of modest, unostentatious living, shunning display or extravagance; to provide moderately for the legitimate wants of those dependent upon him; and after doing so to consider all surplus revenues which come to him simply as trust funds, which he is called upon to administer, and strictly bound as a matter of duty to administer in the manner which, in his judgment, is best calculated to produce the most

beneficial results for the community—the man of wealth thus becoming the mere agent and trustee for his poorer brethren, bringing to their service his superior wisdom, experience, and ability to administer, doing for them better than they would or could do for themselves.

[. . .]

Good giving and bad giving

Those who would administer wisely must, indeed, be wise, for one of the serious obstacles to the improvement of our race is indiscriminate charity. It were better for mankind that the millions of the rich were thrown into the sea than so spent as to encourage the slothful, the drunken, the unworthy. . . . In bestowing charity, the main consideration should be to help those who will help themselves; to provide part of the means by which those who desire to improve may do so; to give those who desire to rise the aids by which they may rise; to assist, but rarely or never to do all. Neither the individual nor the race is improved by almsgiving. . . . The rich man is thus almost restricted to following the examples of Peter Cooper, Enoch Pratt of Baltimore, Mr. Pratt of Brooklyn, Senator Stanford, and others, who know that the best means of benefiting the community is to place within its reach the ladders upon which the aspiring can rise–free libraries, parks, and means of recreation, by which men are helped in body and mind; works of art, certain to give pleasure and improve the public taste, and public institutions of various kinds, which will improve the general condition of the people;–in this manner returning their surplus wealth to the mass of their fellows in the forms best calculated to do them lasting good.

[. . .]

Famous line

Individualism will continue, but the millionaire will be but a trustee for the poor; intrusted for a season with a great part of the increased wealth of the community, but administering it for the community far better than it could or would have done for itself. . . . Of such as these the public verdict will then be: ‘‘The man who dies thus rich dies disgraced.” Such, in my opinion, is the true Gospel concerning Wealth, obedience to which is destined some day to solve the problem of the Rich and the Poor, and to bring ‘‘Peace on earth, among men Good-Will.”

Words to know

benign — beneficial; working for the good of society

survival of the fittest — the idea that competition lets the strongest succeed and the weak fail

bequeathed — left to someone in a will

injudicious — unwise

unostentatious — not showy

trustee — a person who manages money or property for others’ benefit

indiscriminate charity — giving to anyone without checking whether it helps

almsgiving — handing money or goods to the poor